JBAV 内部限定資料

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GOVERNMENT

SOCIALIST REPUBIC OF VIETNAM
Independence-Freedom-Happiness

Ref. No. /201.../NĐ-CP

Hanoi, [date], 201……

DECREE

Providing regulations on transfer price control in affiliated transactions, transfer pricing control, and government budget loss of revenue control

Pursuant to the Government Constitution Law of June 19, 2015;

Pursuant to the Tax Administration Law No. 78/2006/QH11 of Nov. 29, 2006; and Amendments to the Tax Administration Law No. 21/2012/QH13 of Nov. 20, 2012**;**

Pursuant to the Corporate Income Tax Law No. 14/2008/QH12 of June 3, 2008; Amendments to the Corporate Income Tax Law No. 32/2013/QH13 of June 19, 2013; Law No. 71/2014/QH1, revising specific provisions of tax laws;

Pursuant to the Accounting Law No. 88/2015/QH13, of Nov. 20, 2015;

Pursuant to the Investment Law No. 67/2014/QH13, dated Nov. 26, 2014;

Pursuant to Enterprise Law No. 68/2014/QH13, dated Nov. 26, 2014;

Pursuant to prevailing Double taxation and income tax evasion/avoidance control agreements between the government of Vietnam and other jurisdictions;

Based on the proposals of the Minister of Finance;

The government hereby enacts this Decree ruling on transfer price control in affiliated transactions, transfer pricing control, and government budget loss of revenue control.

Chapter I

GENERAL PROVISIONS

Article 1. Scope

1. This Decree provides on the applicability; transfer pricing methods for affiliated transactions; obligations of taxpayers in registering and determining transfer prices in affiliated transactions, and tax filing and payment; and obligations of relevant regulatory agencies in managing, monitoring and inspecting taxpayers involved in affiliated transactions.

2. Affiliated transactions that fall under the scope of this Decree are those created in the course of commercial business activities between parties with affiliation relationships as defined in Article 5 of this Decree, except for

commercial transactions for goods and services subject to government's price control in line with existing pricing rules of the Pricing Law.

Article 2. Applicability

1. Entities involved in the creation and trading of goods and services (hereinafter collectively referred to as taxpayers) that are subject to corporate income tax payment through filing methods and engaging in transactions with other parties in an affiliation relationship under Article 5 of this Decree;

2. Tax administration agencies, including the General Department of Taxation, Tax Departments and Tax Department branch offices;

3. Regulatory agencies, other entities and individuals that are associated with the application of existing rules on transfer price control for affiliated transactions, including revenue services of nations and jurisdictions under prevailing tax treaties with Vietnam.

Article 3. Applicable principles

1. Taxpayers with affiliation relationships shall register related affiliated transactions; register preclusion of any factors that may bias tax obligations influenced or affected by affiliation relationships in determining tax obligations for affiliated transactions relative to independent transactions with comparable terms and conditions.

2. Tax administration agencies shall exercise control, monitoring and inspection over transfer prices in affiliated transactions by taxpayers based on the principles for independent transactions and the substance determining the form principle to disavow any affiliated transactions that may cause loss of revenue to the government budget, and make adjustments to the transfer prices in affiliated transactions in determining related tax obligations under the provisions of this Decree.

Article 4. Terms and definitions

1. “Tax agreements” are the short term for double taxation and tax evasion/avoidance control agreements for income tax entered into by Vietnam and other nations and jurisdictions, and amendments to the agreements that are currently in effect in Vietnam. “Counterpart revenue services” are tax administration agencies of the nations and jurisdictions that have a tax agreement with Vietnam.

2. “Affiliated transactions” are transactions engaged in by parties with affiliation relationships in the course of commercial business activities, including purchase, sale, trade, rent, lease, borrow, loan, assignment and transfer of goods and services (intra-corporate services, borrowing, lending, financial services and other financial instruments; purchase, sale, trade, rent, lease, borrow, loan, assignment and transfer of assets (tangible and intangible assets), and shared use of resources (partnership and cooperation in human resources development and

use; cost sharing between affiliated parties).

3. “Independent transactions” are commercial transactions between parties without an affiliation relationship.

4. “Independent comparators” refer to independent transactions or businesses engaging in independent transactions, selected based on comparative analyses and identification of comparators with commonality to determine prices, earnings ratios, and profit distribution rates, in determining the tax obligations payable to the government budget by taxpayers, and staying in line with the provisions of the Tax Administration Law and Corporate Income Tax Law.

5. “Material discrepancies” are deviations of information or data that may crucially or substantially influence prices, earnings ratios and profit distribution rates of taxpayers.

6. “Tax administration agencies’ database" refers to information and data developed and managed by tax administration agencies under Articles 70 and 71 of the Tax Administration Law pertaining to taxpayers’ tax obligation determination, that are gathered, analyzed, stored, updated and managed from different sources, including databases and information shared with foreign revenue services and other relevant authorities.

7. “The substance determining the form” principle is a rule applied to determine the nature of an affiliated transaction based on cross-reference with other comparable independent transactions, as a way to make sure that affiliated transactions reflect correctly the nature of commercial, economic and financial interactions going on between parties without an affiliated relationship, so as not to allow such affiliated relationships to bias tax obligations to the government budget of taxpayers. This rule is premised on the facts from the transactions going on between affiliated parties, with influencing factors created by the nature of the affiliated transactions determined and ruled out, regardless of the form of the transaction as indicated in a contract or agreement between parties with affiliation relationships. Determining the financial and commercial nature of an affiliated transaction is done based on the principles of comparing and cross-referencing with other independent transactions of comparable economic terms and conditions.

8. The “independent trading range” refers to a mix of values related to prices, gross earnings ratios, net earnings ratios, or profit distribution rates of independent comparators selected by tax administration authorities and taxpayers using the databases referred to in Article 9 of this Decree.

9. The “standard trading range” is a mix of values related to prices, gross earnings ratios, net earnings ratios, or profit distribution rates of representative and generic independent comparators, extracted from the independent trading range, to compare and assess the irrationality of prices, gross earnings ratios, net earnings ratios or profit distribution rates of affiliated transactions.

10. The “ultimate parent company of a group of companies” (hereinafter

referred to as “ultimate parent company”) is the terms referring to a legal entity having direct or indirect equity in other legal entities in a transnational corporation, which is not owned by any other legal entity. The consolidated financial statement of an ultimate parent company must not be consolidated with any financial statements of any other legal entity globally.

Chapter II
SPECIFIC PROVISIONS

Article 5. Parties with affiliation relationships

Parties with affiliation relationships (hereinafter referred to as “affiliated parties”) are parties having relationships that fall under one of the cases listed below.

1. A party that is directly or indirectly involved in the management, control, equity financing or investing in another party;

2. Parties that are directly or indirectly under the management, control, equity financing or investment by another party;

3. Parties that are directly or indirectly involved in the management, control, equity financing or investing in another party.

The affiliated parties referred to in paragraphs 1, 2 and 3 above are specifically defined as follows.

a) A business holding directly or indirectly a minimum 25% of the owner’s equity of another business;

b) Both businesses having a minimum 25% of their owner’s equity held directly or indirectly by a third party;

c) Both businesses holding directly or indirectly a minimum 25% of the owner’s equity of a third party;

d) A business, as the largest shareholder in terms of owner’s equity in another business, holding directly or indirectly a minimum 10% of the total shares of the other business;

e) A business guaranteeing or providing loans to another business in any form (including loans from third parties guaranteed with finances of affiliated parties and other financial transactions of similar nature), providing that the loan is at least 25% of the owner’s equity of the borrowing business, and more than 50% of the total value of the borrowing business’s mid-term and long-term loans;

g) A business appointing members of the management or supervisory board of another business, providing that the number of members appointed by the former accounting for over 30% of the total membership of the management

or supervisory board of the latter; or a member appointed by the former having the right to make decisions on financial policies or business operations of the latter;

h) Both businesses having more than 30% of the members of the management board or a same management board member entitled with decision making right for financial policies or business operations appointed by a third party;

i) Both businesses being run or controlled in terms of human resources, finance and business operations by individuals from one of the following relationships: spouses; parents and offspring (regardless of biological, foster children or in-laws); siblings of the same parents (regardless of biological or foster parents); grandparents and grandchildren from either the father's or mother's side; aunts, uncles, nieces and nephews by blood;

k) Two businesses having a headquarters – resident office relationship, or both being resident facilities of a foreign entity or individual;

l) A business making or trading products using intangible assets or intellectual property rights of another business, providing that the accrued expenses for the use of such intangible assets and intellectual property rights account for more than 50% of the total cost incurred of the tax cycle;

m) A business providing directly or indirectly over 60% of the total value of materials, supplies or input products (not including depreciation of fixed assets) for the making and trading of the final products of another business;

n) A business controlling directly or indirectly over 60% of the total consumption or sales, and service provision of another business.

Article 6. Analytical and comparative rule

1. The analytical, cross-referencing and comparative rule applies as follows.

a) Any analyses and comparisons made shall apply the principles of independent transactions and the substance determining the form principle to correctly identify the nature of an affiliated transaction when analyzing the commonality with independent comparators.

- Where terms in writing are absent, or such terms are inconsistent with the principles of independent transactions, affiliated transactions shall be identified in a way that correctly reflects the business nature between the independent parties involved.

- Such nature identification shall be done through the gathering of information, evidence and data related to the transactions, the risk burdens of the affiliated parties in the actual course of the related commercial activities.

b) Principles and methods to adjust material discrepancies shall be applied to comparators to select reliable independent transaction comparators in the adjustment of the transfer prices of affiliated transactions and determination of tax obligations, preventing loss of revenue to the government budget.

- Applicable comparators include specifications of the goods, services and assets involved (hereinafter referred to as product traits); roles of commercial activities; contract terms and economic terms related to the transactions.

Analyses of the roles of commercial activities shall illustrate the core functions pertaining to the use of assets, capital, expenses and risks that may emerge from investment in such assets, capital and expenses, with the ability of earnings gain related to business transactions.

Analyses of economic terms related to transactions shall also include the elements of location and cost advantages based on geography, access to local markets, concentrated specialization, partnership and cooperation in using available human resources, and cost sharing by affiliated parties.

- The findings of these analyses will provide grounds for adjusting prices, earnings ratios, or profit distribution rates of taxpayers in line with the standard independent trading range for the comparators selected as specified in Article 7 of this Decree.

2. Applicability of the substance determining the form rule:

Use of the substance determining the form principle includes the following:

a) An affiliated party receiving revenue and earnings from affiliated transactions with the taxpayer must have ownership and control over business risks for the profit generating assets, goods, services, resources and rights (shares, stock and other financial means).

b) The taxpayer incurring costs from engaging in transactions with an affiliated party must receive benefits and economic values that directly serve or help create revenue and added value for the taxpayer's commercial activities.

c) The taxpayer incurs costs that are irrelevant with the nature of independent transactions or do not help create revenue and added value for commercial activities.

3. Analytic and comparative process:

Analyses and comparison for commonality shall follow the rules below.

a) The nature of affiliated transactions must be determined prior to conducting analyses for commonality with independent comparators.

b) Analyses, comparison and search for independent comparators shall be done through determining the time of comparison; analysis of industry, market and economic circumstances where the transactions take place; analysis of the affiliated transactions and taxpayers involved in affiliated transactions; sources of data; methods to determine the transfer price and calibrate material discrepancies.

Analytical findings shall provide grounds for any adjustment of prices, earnings ratios or profit distribution rates of the taxpayer within the standard trading range for the comparators selected to determine the taxpayer's corporate income tax obligation, preventing loss of revenue to the government budget.

c) Analyses, comparison and search for comparators shall:

-Prioritize selection of internal independent comparators of the taxpayer themselves (i.e. transactions between the taxpayer and parties without an affiliation relationship), assuring comparability in terms of scale, quantity, product traits, contract terms and conditions, and roles of commercial activities;

-The premise for comparison lies in the affiliated transactions and independent transactions on a case-by-case basis with every comparable product. Where product-based comparison is impossible, a combination of transactions must ensure alignment with the nature and facts of the commercial operations, and the use of the methods to determine the transfer prices of affiliated transactions under the provisions of Article 7 of this Decree.

Based on the pricing methods used and independent comparators selected, adjustments shall be made to the prices, earnings ratios or profit distribution rates of the taxpayer within the standard trading range to determine the taxpayer's corporate income tax obligation, preventing loss of revenue to the government budget.

Comparative findings must ensure commonality, without material discrepancies in prices, earnings ratios or profit distribution rates between the affiliated transactions or taxpayers engaging in the affiliated transactions, and independent comparators. Where material discrepancies exist, analyses and identification of the criticality of such discrepancies shall be done, and adjustment made to rule out any material discrepancies based on comparators that may have material influence on every method to determine the transfer prices of affiliated transactions in line with Article 7 of this Decree.

-The minimum number of independent comparators selected for analyses, comparison and correction of material discrepancies must be met as follows. 01 comparator in case of affiliated transactions or taxpayers engaging in affiliated transactions, and independent comparators have no discrepancy; 03 comparators in case the independent comparators have discrepancies, but there is sufficient backing information and data to rule out all material discrepancies; 05 comparators in case there is only backing information and data to rule out most material discrepancies in the independent comparators.

The standard trading range applies to increase reliability for the independent trading range.

- Data, supporting documents and materials used for analyses and comparison must be dated in the same fiscal year for the taxpayer, except for special cases where the comparative horizon needs to be extended in line with the provisions of this paragraph. Comparative data must ensure reliability to be used for the purposes of registering and calculating payable taxes, in line with existing regulations for accounting, record keeping and taxation.

The type and format of data of independent comparators must ensure the ability to compare and calculate prices, earnings ratios or profit distribution rates of the taxpayer in a minimum 03 (three) consecutive tax cycles. In case of

businesses in existence for less than 03 (three) fiscal years or doing business on a seasonal and not around the year basis, the time line shall be determined accordingly by respective monthly, quarterly or seasonal periods.

Relative ratios and percentages shall be rounded up by the taxpayer to the second decimal place. In case relative numbers are extracted from published data without an accompanying absolute number and not applying this rule of rounding up, the published data shall be used, with the sources referenced.

- In case, given the special or unique nature of the affiliated transaction, the scope of industry analysis and comparison, comparative horizon and definitive elements of the affiliated transaction shall be expanded.

Expansion of the selection of independent comparators to national economic sectors (based on the list of national economic sectors released by a relevant regulatory agency) shall remain distinctive from the taxpayer's business line classification.

The extended period for data collection of independent comparators shall not exceed 03 (three) fiscal years, up to the time the affiliated transaction occurs.

Definitive comparative variables of intangible assets include ownership, use rights, rights for development and other interests and prerogatives pertaining to the intangible assets. Analyses of intangible assets shall be built on ownership and potential earnings from the intangible assets; geographical limitations for use and application of rights over the intangible assets; rights, prerogatives and non-prerogatives pertaining to the transferred rights; whether the transferee is involved in the development of the intangible assets, and the actual operating and business risk control roles of every affiliated party based on the entire process of development, enhancement, maintenance, preservation and application of the intangible assets.

Expansion of the analytical and comparative scope shall follow the applicable principles provided in paragraph 1.b of this Article.

4. The Ministry of Finance provides guidance on the analytical and comparative exercises referred to in this Article.

Article 7. Comparative methods to determine the transfer prices in affiliated transactions

Comparative methods to determine transfer prices in affiliated transactions (hereinafter referred to as affiliated transaction pricing methods) shall be selected through the following approaches.

- Independent transaction price comparison;
- Resale pricing method;
- Cost price plus profit method;
- Earnings comparison method;
- Profit distribution method.

Selection of the affiliated transaction pricing methods to determine the tax obligations to the government budget shall be premised on the nature and computing method rather than what the methods are called.

The most relevant affiliated transaction pricing methods are the ones selected from the 05 (five) methods above, that are aligned with the principles for independent transactions, and have the most complete and reliable source of information and data for use in analytical comparison.

1. Independent transaction price comparison:

Independent transaction price comparison means comparing the product unit price in independent transactions with the product unit price in affiliated transactions of the taxpayer.

a) Applicable rules:

- The independent transaction price comparison method applies based on the principle of gathering sufficient reliable independent comparators that have no material discrepancies between the product unit prices in the affiliated transactions and product unit prices in the independent transactions for the products, or if any material discrepancies exist, they must be ruled out.

- Independent transaction price comparison prioritizes comparing the product traits and contracts terms. Supporting comparators include economic means and the taxpayer's operating roles.

Factors that may have material influence over the product unit price and need to be analyzed when adopting independent transaction price comparison, i.e. product traits and contract terms, include the nature, quality and brand name of the products, and size and quantity of the transactions; terms and conditions of product supply and delivery contracts: quantity, time of delivery, time of payment and other contract terms and conditions; rights for distribution and sales of goods, services and assets that may impinge on the economic value and markets where the transactions take place, and other factors that may affect the product unit price (if any).

b) Pricing methods:

- Product unit prices in affiliated transactions shall be adjusted based on the product unit price in independent transactions, or the most appropriate values within the standard independent transaction pricing range of independent comparators as provided for in this Decree.

- The correction unit prices of affiliated transactions are the prices used for tax calculation, filing and determination of the tax obligations of the taxpayer, to be applied in ways that do not cause loss of revenue to the government budget.

2. Resale pricing method:

Resale pricing means using the sale prices of the goods, services and assets sold by the taxpayer to independent buyers to determine the purchase prices of such goods, services and assets from affiliated parties.

a) Applicable rules:

- Resale pricing applies based on the principle of gathering reliable independent comparators, without material discrepancies in terms of operating roles and economic means that may exert critical influence on the gross margin over sale price ratio (net sales), or if any material discrepancies exist, they must be ruled out.

- Resale pricing prioritizes analytical comparison of operating roles, assets and risks of the taxpayer, and economic means as affiliated transactions occur. Supporting factors include product traits and contract terms.

Factors that may have material influence on the gross margin over sale price ratio (net sales) and need to be analyzed when using the resale pricing method, i.e. operating roles and economic means, include expenses that reflect the taxpayer's operating roles, assets and business risks - agent commission; distributors with limited risks or own-account distributors that incur advertising, marketing and promotional costs; economic means when the transactions take place; economic circumstances that may affect the business costs incurred where the transactions take place, including the size and location of the markets where products are made and sold; level of competition; time and nature of activities - wholesale or retail sale; accounting systems used - elements making up the gross margin, including sales (or net sales) and cost prices of the business engaging in the affiliated transactions and independent comparators that must be subject to comparable accounting standards.

b) Estimation methods:

- The purchase costs of goods, services and assets (cost price) from affiliated parties equal (=) sale price (net sales) of the goods, services and assets resold to independent parties, minus (-) gross margin over sale price (net sales) captured from the selected independent comparators.

- The gross margin over sale price (net sales) captured from independent comparators equals (=) sale price (net sales) of the taxpayer multiplied (x) by the gross margin over sale price ratio (net sales) of the selected independent comparators.

The gross margin over sale price ratio (net sales) of the selected independent comparators are the most relevant values within the standard independent trading range of the gross margin over sale price ratio (net sales) used to make appropriate corrections in line with the rules specified in this Decree.

- The purchase price of goods, services and assets (cost price) from affiliated parties may subtract (-) other specific expenses included in the purchase price - import duty, customs fees, insurance and international freight (if any).

- The corrected purchase price from affiliated parties are the prices used for tax calculation, filing and determination of the corporate income tax obligations of the taxpayer, to be applied in ways that do not cause loss of revenue to the

government budget.

3. Cost price plus profit method:

The cost price plus profit method uses the taxpayer's cost price of the product purchased from independent parties to determine the sale price of such products to affiliated parties.

a) Applicable rules:

- The cost price plus profit method applies based on the principle of gathering reliable independent comparators, without material discrepancies in terms of roles and trading terms between independent comparators and taxpayer that may exert critical influence on the gross margin over sale price ratio (net sales), or if any material discrepancies exist, they must be ruled out.

- The cost price plus profit method prioritizes in analytical comparison the operating roles, assets in use, taxpayer's risks and contract terms. Supporting factors include product traits and economic means.

Factors that may have material influence over the gross margin to cost price ratio when adopting the cost price plus profit method and need to be analyzed include expenses that reflect the taxpayer's operating roles and business lines - manufacturing, service provision, research and development; contract terms and conditions - product delivery time, cost for quality control, inventory, warehousing, payment terms; accounting standards used - the elements making up the cost price of the taxpayer and independent comparators must use comparable accounting standards.

b) Estimation methods:

- The sale price or net sales of goods, services and assets sold to affiliated parties equal (=) cost price of the goods, services and assets purchased from independent parties, plus (+) gross margin to cost price ratio captured from the selected independent comparators.

- The gross margin to cost price ratio captured from independent comparators equals (=) cost price of the taxpayer multiplied (x) by the gross margin to cost price ratio of the selected independent comparators.

The gross margin to cost price ratio of the selected independent comparators are the most relevant values within the standard independent trading range of the gross margin to cost price ratio of independent comparators.

- The corrected sale price to affiliated parties are the prices used for tax calculation, filing and determination of the corporate income tax obligations of the taxpayer, to be applied in ways that do not cause loss of revenue to the government budget.

4. Earnings comparison method:

Earnings comparison is a method that uses the net earnings ratio of the selected independent comparators to determine the net earnings ratio of the taxpayer engaging in affiliated transactions when the comparators have comparable trading terms.

a) Applicable rules:

- The earnings comparison method applies based on the principle of gathering reliable independent comparators, without material discrepancies in terms of operating roles, assets, business risks and trading terms between independent comparators and taxpayer that may exert critical influence on the net earnings ratio, or if any material discrepancies exist, they must be ruled out.

- Net earnings comparison prioritizes analyses of operating roles, assets and business risks of the taxpayer, and economic means when the transactions take place. Supporting factors include product traits and contract terms.

Factors that may have material influence over the earnings ratio and need analyzing in earnings comparison include assets, capital, costs; actual control and decision making rights that serve the core functions of the taxpayer; nature of the business line, product category and production or sale stages - whether final products are made from raw materials or semi-finished products; accounting norms and product costing structure - the product being in a stage of faster depreciation than normal depreciation; the economic means when the transactions take place - place of business and sale markets of the taxpayer.

Other factors with material influence may be identified through gathering performance facts and information between affiliated parties, including trade or financial relationships that may not be viewed as transactions of transnational corporations - technical assistance, sharing of know-hows, use of seconded or part-time personnel, location, goodwill and cost saving ability based on geography and access to local markets, and concentration in specialization and synergy within the corporation.

- Earnings comparison must rely on the operating roles and nature of the transactions to choose the appropriate before tax net earnings of corporate income to net sales, cost or assets of the commercial activities involved, in line with the principles for independent transactions.

The before tax net earnings (profit) of corporate income may be added (+) with the cost of loan interest or fixed assets depreciation in determining profit and loss prior to paying out these costs.

b) Estimation methods:

- The earnings ratio of affiliated transactions shall be determined through comparison with the net earnings ratio of the selected independent transactions, from which corrections shall be made and tax obligations determined for the affiliated transactions.

- The net earnings ratio captured from the selected independent comparators are the most relevant values within the standard independent trading range of the net earnings ratio used for correction and determination of the taxpayer’s taxable income and tax obligations, applied in a way that does not result in loss of revenue to the government budget.

5. Profit distribution method:

Profit distribution is a method relying on the earnings gained from a mix of affiliated transactions done by multiple affiliated businesses to determine the reasonable profit for each of those affiliated businesses in the way independent parties conduct profit distribution in comparable independent transactions.

The chain of the consolidated affiliated transactions done by multiple affiliated parties includes transactions that are typical, unique and self-contained within the corporation, or closely related and simultaneously executed. The affiliated transaction chain may be a proprietary intangible asset that is hard to valuate, and the entire development, enhancement, maintenance, preservation and application process of such intangible asset between the affiliated parties involved. An affiliated transaction chain may be complicated and concurrently relate to various financial markets around the world.

a) Applicable rules:

- Profit distribution applies in case affiliated parties jointly take part in the research and development of a new product, or development of a product in the form of a proprietary intangible asset, or transactions conducted in transitional commercial processes between the affiliated parties, from raw material to the final product, to push the product to markets, coupled with the ownership or use of sole intellectual property right.

- Profit distribution applies on the back of gathering reliable independent comparators; determining the actual gross earnings or potential earnings for research and development transactions; determining profit distribution determinants under the principles for independent transactions and without material discrepancies between these factors that may cause critical implications on the profit distribution rates between the affiliated parties, or if material discrepancies exist in the profit distribution rates, they must be ruled out.

- Profit distribution prioritizes comparison of the nature of the product, transaction and operating roles of the business. Supporting factors include contract terms, product traits and economic means.

- Analyses and comparison to use this method must also assess factors that may have material influence on the earnings ratios, including operating roles, assets in use and actual risk burdens; nature of the business line, product category and production or sale stage (e.g. whether final products are made from raw materials or semi-finished products); accounting norms and product costing structure - the product currently in a stage of faster depreciation than normal depreciation; the elements making up the value of the affiliated transaction chain, including sales, cost, asset or human resources input of the affiliated parties involved that generate revenue and earnings for the corporation, and the comparators referred to in paragraph 4 of this Article.

b) Estimation methods:

- Corrected earnings of the taxpayer shall be distributed along the line of the elements making up the gross earnings (revenue, cost, asset or human

resources input of the affiliated parties involved in the transaction), or by the operating roles of each affiliated party.

- The gross earnings are the actual or potential earnings gained by the parties involved in the affiliated transactions.

- Profit distribution rates may include a base profit distribution rate and a surplus profit distribution rate. The base profit distribution rate is an earnings ratio captured from the selected independent comparators under the provisions of paragraphs 2, 3 and 4 of this Article. The surplus profit distribution rate relies on the elements making up the gross earnings - revenue, cost, assets or human resources input of the participating affiliated parties used for determination in alignment with the rules for independent transactions.

- Corrected earnings of the taxpayer provides grounds for registering taxable income and determining the corporate income tax obligations of the taxpayer, applied in a way that does not cause loss of revenue to the government budget.

6, The Ministry of Finance provides guidance on the affiliated transaction pricing methods specified in this Article.

Article 8. Determining the tax base for specific affiliated transactions

1. The total loan interest expense paid for affiliated parties that is deductible to the tax base within a tax cycle shall not exceed 20% of the before tax earnings, not exclusive of loan interest and depreciation expenses of the taxpayer, but not in excess of the percentage of loan interest expense paid for independent parties out of the before tax net earnings, not exclusive of the corporate loan interest and depreciation expense.

a) Taxpayers shall notify the percentage of loan interest expense for affiliated parties within the taxpayer's tax cycle in Vietnam, and the percentage of loan interest expense paid for independent parties of the corporation using Template 01/NĐ-GCN under the provisions of this Decree.

b) Loan interest expenses for affiliated parties referred to in this paragraph include:

- Loan interest expense for affiliated parties;

- Loan interest expense paid to commercial banks or independent parties, where the underlying finances for the loan are guaranteed, assured or committed by affiliated parties with corresponding deposits in such commercial banks;

- Other financial expenses with a similar nature as loan interest expense.

2. Service expenses paid for affiliated parties are deductible to the tax base if:

a) The services rendered are of commercial, financial and economic values, and directly serve the purposes of commercial activities by the taxpayer.

b) Services from affiliated parties shall only be deemed to have been provided if under similar circumstances, independent parties pay for these

services.

c) Service fees shall be paid based on the principles for independent transactions. Services that serve the purposes of or create values for other affiliated parties shall not be deducted from the deductible tax base within the tax cycle when determining the corporate income tax base of the taxpayer.

d) Services provided between affiliated parties shall not be deductible to the taxable income in case the services overlap; the services are activities that serve the interest of affiliated parties' shareholders; the services that serve the interest received paid by a taxpayer that is a corporate member, and services that are paid for to affiliated parties acting as intermediate providers of similar services based on agreements and contracts with a third party to the taxpayer.

e) The policies and pricing methods for affiliated transactions, and principles for service fee distribution between affiliated parties shall be uniformly applied across the corporation for similar types of services.

In case of transactions between affiliated parties pertaining to corporate specialization and synergy centers, the taxpayer shall determine the total values generated from these functions, and determine the profit distribution rates corresponding to the values contributed by affiliated parties, after subtracting (-) the respective service fee for the affiliated parties that coordinate or provide the services in the nature of independent transactions.

3. Any cost incurred that are irrelevant with the nature of independent transactions or do not help create revenue and added value for commercial activities of the taxpayer shall not be deductible to the taxable income, including

a) Payments to affiliated parties that have no commercial activities related to the taxpayer's commercial operations;

b) Payments to affiliated parties that engage in commercial activities, but have the magnitude of assets, staff size and business roles asymmetrical of the value of business transactions and revenue that the affiliated parties receive;

c) Payments to affiliated parties that are unable to control business risks for the assets, goods and services provided to the taxpayer;

d) Payments to affiliated parties that are resident persons in a country or jurisdiction where corporate income tax does not apply.

Article 9. Databases used in reporting, determining and managing affiliated transaction prices

1. Databases used in reporting and determining the taxpayer's affiliated transaction prices include:

a) Commercial databases of information providing institutions;

b) Information published or provided by domestic ministries and line agencies to tax administration agencies;

c) Corporate information and data publicly released in the stock market;

d) Public domain information and data on international commodity and

service exchanges;

e) Other official sources.

2. Databases used in managing affiliated transaction prices of tax administration agencies include:

a) Tax administration agencies' databases;

b) Commercial databases of information providing institutions;

c) Information and data shared with foreign revenue services;

d) Information published or provided by domestic ministries and line agencies to tax administration agencies;

e) Corporate information and data publicly released in the stock market;

g) Public domain information and data on international commodity and service exchanges;

h) Other official sources.

2. Selection of independent comparators to analyze and determine independent trading ranges shall comply with the principles for analytical comparison and affiliated transaction pricing methods specified in this Decree, in the following order:

a) The taxpayer's in-house comparators;

b) Resident comparators in the same nation or jurisdiction with the taxpayer;

c) Comparators in other countries in the region with comparable industry conditions and economic advancement level.

Article 10. Taxpayer's obligations in reporting and determining affiliated transaction prices

1. Taxpayers involved in affiliated transactions that are subject to the provisions of this Decree have the obligations to report and determine the prices of affiliated transactions in line with the principles for independent transactions; analyze, compare and select independent comparators with commonality to determine the standard independent trading range; adjust the affiliated transaction prices along the line of the most applicable values of the standard independent trading range, while not diminishing the corporate income tax obligations in Vietnam.

2. Taxpayers involved in affiliated transactions have the obligations to prepare documentation determining the affiliated transaction prices and report information on the affiliated transactions, including information on the affiliated parties and affiliated transactions using Template 01/NĐ-GCN of this Decree, and submit the filled out Template 01/NĐ-GCN together with the business's income tax returns.

The dossier for determination of affiliated transaction prices consists of background information on the global corporation, national file and inter-country profit report in case the ultimate parent company has to lodge the document at a

partner country in line with a tax agreement with Vietnam. The dossier determining affiliated transaction prices shall be prepared prior to filing the annual corporate income tax return and must be maintained and presented upon request for provision of information from tax administration authorities. Data, supporting documents and materials used as premised for analytical comparison and valuation shall clearly define the origin to allow tax administration agencies' verification and investigation.

3. Taxpayers have the obligation to provide in full, accurately and be responsible before the law for the information provided in the documentation determining affiliated transaction prices upon request by tax administration authorities during the consultation process specified in Article 12 of this Decree. The deadline for provision of information through the affiliated transaction pricing file shall be no later than 15 working days after receipt of request from tax administration agencies in the consultation note. In case the taxpayer can produce a reasonable cause, the deadline can be extended once and for no longer than 15 days since the original deadline.

4. Independent audit agents tasked with filing and affiliated transaction pricing, and preparing affiliated transaction pricing dossiers shall apply prevailing auditing standards, accounting-auditing ethics, and comply with applicable rules for independent audit. Independent audit agents representing taxpayers to prepare affiliated transaction pricing dossiers shall comply with prevailing laws on regulating transfer prices in affiliated transactions, and be responsible before the law for their advisory services and preparation of affiliated transaction pricing documentation for clients, and ensure to take into account accurately and sufficiently the payable corporate income tax in Vietnam relative to the earnings, revenue and value generated of the taxpayer.

5. Affiliated transaction pricing dossiers and other information, materials and supporting documents of the taxpayer provided to tax administration agencies may be originals or copies as required by law. In case of businesses using electronic financial documents, provision of such documents shall be done in accordance with the Accounting Law and relevant implementing documents regarding electronic documentary evidence. Materials and supporting documents in foreign languages shall be translated into Vietnamese under the existing Accounting Law and accounting standards, and the taxpayer shall be accountable for the content and reliability of the translations.

The Ministry of Finance shall, based on the provisions of this Article and elsewhere in this Decree, provide guidance on affiliated transaction pricing dossiers.

Article 11. Waiver of the obligation to prepare affiliated transaction pricing documentation

Taxpayers have the obligation to report and determine affiliated transaction prices using Template 01/NĐ-GCN but are waived of the obligation to prepare

affiliated transaction pricing documentation if:

1. A taxpayer that only engages in transactions with affiliated parties that are subject corporate income tax payers in Vietnam, whereas the said affiliated parties are subject to the same corporate income tax rates with the taxpayer, and none of the parties are entitled to corporate income tax breaks within the tax cycle, shall be waived of the obligation to prepare affiliated transaction pricing documentation.

2. A taxpayer that engages in affiliated transactions but has the gross revenue generated within the tax cycle not in excess of VND 50 billion and the total value of affiliated transactions that occur during the tax cycle not exceeding VND 30 billion.

Article 12. Rights and obligations of tax administration agencies in regulating affiliated transaction prices

Tax administration agencies shall exercise their rights and obligations under prevailing tax laws and regulations provided in existing tax-related legislation. In regulating affiliated transaction pricing, tax administration agencies have the following rights and obligations.

1. Applying risk management in tax administration for affiliated transaction pricing in accordance with the provisions of the Tax Administration Law;

2. Setting affiliated transaction prices, including prices, earnings ratios and profit distribution rates used to file taxes; setting the taxable income or payable corporate income tax for taxpayers engaging in affiliated transactions within the tax cycle in the following cases:

a) The taxpayer fails to report on affiliated transactions as required in this Decree.

b) The taxpayer is in breach of the regulations on preparing affiliated transaction pricing documentation in line with the provisions of this Decree.

c) The taxpayer fails to present affiliated transaction pricing documentation upon request by tax administration authorities.

d) The taxpayer relies on illegal, disqualifying materials, data and supporting documents, or fails to clearly define the sources and origins to help determine the prices, earnings ratios or profit distribution rates applied to affiliated transactions.

e) The taxpayer is waived of the obligation to prepare affiliated transaction pricing documentation as provided for in Article 11 of this Decree, but engages in actions that violate the regulations on affiliated transaction pricing specified in this Decree.

The taxpayer uses deceitful and false information on independent transactions in analyzing, comparing and determining affiliated transaction prices.

3. Tax administration agencies shall, based on the principles for analytical comparison, principles and methods for affiliated transaction pricing provided in this Decree, and tax obligation information reported by businesses engaging in affiliated transactions, set the tax levels in the following cases.

a) In case the taxpayer fully complies with applicable accounting, and requirements for invoicing and supporting documents: Setting the taxable revenue, expenses or income to determine the tax obligation shall be done observing the principles for analytical comparison, methods for affiliated transaction pricing, and databases used in regulating affiliated transaction pricing provided in this Decree.

b) Other cases: setting taxes shall rely on the tax administration agencies' databases in line with current rules on setting taxes for businesses that fail to strictly comply with prevailing accounting standards, and requirements for invoicing and supporting documents, or regulations on penalizing tax-related wrongdoings.

4. Tax administration agencies are responsible to keep confidential any information provided by taxpayers pertaining to affiliated transaction pricing in line with this Decree. Provision of information to other agencies and entities shall follow the provisions of paragraph 5 of this Article.

5. In case of any concerns related to the regulations and policies on affiliated transaction pricing applicable to special industries or sectors, tax administration agencies shall consult relevant authorities, entities and individuals, specifically

a) professional regulatory agencies, professional organizations and associations.

b) Tax administration agencies are responsible to provide materials, information and documents associated with affiliated transaction pricing to consulted professional agencies and organizations. These professional agencies and entities shall keep the information received confidential under current tax administration laws and regulations.

6. Tax administration agencies shall share information with taxpayers and counterpart revenue services in accordance with applicable protocols for consultation before, during and after inspection and audit of affiliated transactions, to be specific as follows:

a) In case this is done through applying risk management in tax administration for affiliated transaction pricing, tax administration agencies, if they deem it necessary to have discussions in advance with the taxpayer, shall forward an official correspondence asking designated consulting agencies to sit in advance with the taxpayer for discussion and provision beforehand information regarding the taxpayer's affiliated transaction pricing documentation in line with the provisions of this Decree.

b) In case tax administration agencies need to keep in touch and discuss with counterpart revenue services under the provisions of Procedures for bilateral

agreement and information sharing in related tax agreements, the timeline for information sharing between the tax administration agencies shall follow the regulations of the tax agreement. Where needed, tax administration agencies shall notify in writing to the taxpayer on the suspension of on-going inspection and audit to start information sharing with counterpart revenue services in line with existing tax administration laws and regulations.

Article 13. Obligations of relevant ministries and line agencies in regulating affiliated transaction pricing

1. The Ministry of Finance shall:

a) Be accountable to the government for exercising governance of affiliated transaction pricing in line with the provisions of this Decree;

b) Take the lead role and cooperate with the Ministry of Information and Communication in conducting education and awareness efforts related to governance of affiliated transaction pricing;

c) Conduct audit and inspection of businesses engaging in affiliated transactions under existing regulations on risk management in tax administration.

2. The State Bank of Vietnam shall:

a) Cooperate with and provide the Ministry of Finance with available information on foreign exchange transactions with foreign partners by businesses that are subject corporate income tax payers in Vietnam showing signs of transfer pricing and tax evasion/avoidance upon requests for inspection and audit from tax administration authorities;

b) Provide information and data on foreign loans and repayment of loans by businesses in Vietnam, including data on loan amounts, credit limit, interest rates, maturity for interest and principal payment, drawdowns, paid interest and other related information.

3. The Ministry of Planning and Investment shall:

a) Take the lead role in setting up a database for national economic sector classification; provide rules on registering business lines by companies; build a database for the investment capital structure at the time of licensing and dates for amendment and update of investment licenses and business licenses for companies;

b) Cooperate, provide and share relevant information for investment projects as tax administration authorities, when carrying out inspection and audit, find signs of transfer pricing for tax evasion and avoidance purposes, upon request of tax administration agencies.

4. The Ministry of Science and Technology shall:

a) Take the lead in setting up databases pertaining to contracts for technology transfer, transfer of brand names, trademark franchising, and registration dossiers related to intellectual property rights, industrial property

rights and rights related to intangible assets;

b) Set in place regulations on technology transfer and transfer of intellectual property for the purposes of affiliated transaction pricing control.

5. The Ministry of Information and Communication shall:

a) Have in place regulations on the digital economy, including databases on businesses granted business licenses under its jurisdiction;

b) Cooperate and share information related to affiliated transactions in digital technology sectors upon request of the Ministry of Finance.

6. The Ministry of Industry and Trade shall:

a) Take the lead in setting up a database for franchising, a database for trading prices of commodities and services in international commodity exchanges;

b) Feed and provide information upon request for affiliated transaction pricing control from tax administration authorities.

7. The People's Committees of provinces and central-level cities shall:

a) Advise the Planning and Investment Department and other relevant departments and line agencies to enforce applicable rules on affiliated transaction pricing control;

b) Advise the Planning and Investment Department and other relevant departments and line agencies in setting up databases in their respective specialized governance field for the purposes of affiliated transaction pricing control.

Chapter III
IMPLEMENTING PROVISIONS

Article 14. Effectiveness

This Decree comes into effect from [date], 201……

Article 15. Implementing guidance and execution

The Ministry of Finance shall provide guidance and roll out this Decree, while coordinating with other regulatory agencies, political organizations, political-social organizations, and social-professional organizations to promote education, awareness and advocate the general public to participate in the implementation and monitoring of this Decree.

Article 16. Implementing responsibilities

Ministers, heads of ministerial level agencies, heads of governmental bodies, chairpersons of the People's Committees of provinces and central-level

cities, relevant organizations and individuals are responsible to implement this Decree.

C/c:
- Party Central Secretary;
- Prime Minister, Vice Prime Ministers
- Ministers, ministerial level agencies, governmental bodies;
- Municipal People's Councils and People's Committees;
- Party Central office and committees;
- Party General Secretary's office;
- State President office;
- Ethnicity Council and various National Assembly's committee;
- National Assembly office;
- Supreme People's Court;
- Supreme People's Procuracy;
- State Audit Office of Vietnam;
- National Finance Supervision Board;
- Social Policy Bank;
- Development Bank of Vietnam;
- Fatherland Front of Vietnam;
- Central offices of mass organizations;
- Gov. Office: Minister, Vice Ministers, PM assistants, website, departmental agencies, Official gazette;
- Filing: Corres., Accounting-Gen. Affrs. (3b).

PRIME MINISTER

Nguyễn Xuân Phúc